

dYdX than Uniswap). To capitalize on this arbitrage opportunity, without any capital beyond the gas fee, an investor can execute a flash loan to borrow 1,000 DAI, exchange it on Uniswap for 6 ETH, and use 5 of those ETH to trade for 1,000 DAI on dYdX. Finally, the investor can repay the flash loan with the 1,000 DAI and pocket the 1 ETH profit. This all happens in a single transaction; multiple contract executions can happen in a single transaction on the Ethereum blockchain (Figure 6.9).

The main derivative products dYdX offers are ETH and BTC perpetual futures. At the time of writing, dYdX also

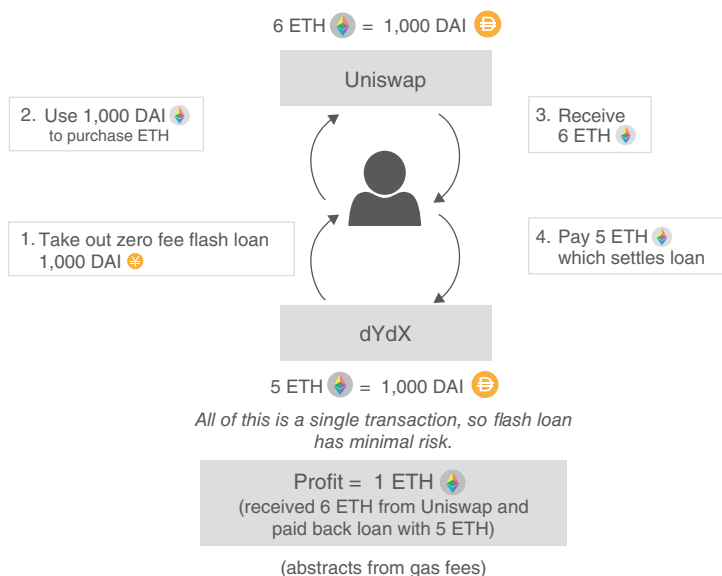


Figure 6.9 The Mechanics of Arbitrage with dYdX